‘The creation of these Trusts made Tata Sons to some extent a public agency whose directors worked full time and managed the affairs of the concerns in charge as salaried employees responsible ultimately to the Trusts,’ wrote John Mathai, India’s first railway minister and later finance minister, and Y.S. Pandit, a noted economist.

These were not the only instances where Mistry acted contrary to what he had advocated during his selection process. In the covering letter transmitting the note that he had submitted to the selection committee, he had made two other important recommendations. The first was that no individual should simultaneously be the chairman of several companies. He had said that the Tata Group should be managed as a ‘structure that has the chairman of operating companies as different individuals’. But when he became the chairman, he disregarded his own recommendation. Nearly four years into his appointment, he was simultaneously the chairman of at least eight large group companies and Tata Industries Limited, including Tata Consultancy Services, Tata Steel, Tata Motors, Tata Chemicals, Tata Power and Indian Hotels.

The second contradiction was regarding the tradition in the Tata Group of maintaining a link between the Tata Trusts, Tata Sons and the large operating companies. Mistry had advocated the establishment of a structure in which the directors of Tata Sons had substantial representation in the operating companies. In the note, he had said that time was ‘opportune’ to ‘pass an amendment’ in the ‘articles of each company that gives Tata Sons the right to appoint 1/3rd of the directors of all operating companies’. Similarly, he also recommended a ‘similar process for appointing the operating company chairman as in Tata Sons’.

But after becoming the chairman, Mistry established a different architecture. Soonawala remarks that Mistry kept the Tata Sons directors away from the board of operating companies. Instead, he filled the boards with his people, Soonawala adds. ‘He developed a structure in which he was the only representative of Tata Sons in the board of the large operating companies’, disrupting the time-tested and smooth way of operating the companies, he comments.

Mistry’s effort to keep away other directors of Tata Sons from the board of large companies was evident in the composition of their boards. As on 31 March 2012, when Ratan was still chairman of the group, all the directors in